

21STCV39315 21STCV39315

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Case Number: 21STCV39315 Hearing Date: July 29, 2026 Dept: 732

Grace Cherry v. Velur Enterprises, Inc., et al..

Wednesday, July 29, 2026

CASE NUMBER: 21STCV39315

OPPOSED

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's Motion for Terminating Sanctions.

Facts: This is an action for fraud and rescission of contract. The Complaint alleges as follows. Plaintiff Grace Cherry (Plaintiff) was induced to purchase several real properties from Defendants Velur Enterprises, Inc. and Velur Properties, LLC (Velur) based on representations made by Velur's agents, Defendants Marylou Matienzo and Dennis Pilien. (Complaint ¶¶ 12–13.) These representations, concerning adjacent property owners on development taking place in the area, were false. (Complaint ¶¶ 12–15.) Plaintiff relied on these representations in purchasing the properties, and would not have done so otherwise. (Complaint ¶ 16.)

Procedural History: Plaintiff filed the Complaint on October 25, 2021, alleging seven causes of action:

Fraud

Rescission of Contract

Breach of Fiduciary Duty

Professional Negligence

Breach of Broker's Duties

False Advertising

Business & Professions Code § 17200

On March 22, 2022, this court granted Defendants' unopposed demurrer to the Complaint without leave to amend. An order of dismissal was entered on April 15, 2022.

On September 8, 2022, this court granted Plaintiff's motion for relief from dismissal.

Plaintiff filed a first amended complaint on October 10, 2022, alleging eight causes of action:

Fraud

Negligent Misrepresentation

Rescission of Contract

Breach of Fiduciary Duty

Professional Negligence

Breach of Broker's Duties

False Advertising

Business & Professions Code § 17200

This court on February 1, 2023, sustained Defendants' demurrer to the FAC as to the third and fourth causes of action, without leave to amend, and granted the motion to strike as to the second cause of action for negligent misrepresentation. The court also directed Plaintiff to add several necessary parties.

Plaintiff filed a Second Amended Complaint on March 27, 2023, alleging five causes of action:

Fraud

Professional Negligence

Breach of Statutory Brokers Duties

False Advertising

Business & Professions Code § 17200

This court on April 13, 2023, granted in part Defendants' motion to dismiss as to the prayer for rescission in the SAC.

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien filed the present motion for terminating sanctions on June 12, 2026.

Plaintiff filed an opposition on July 17, 2026.

Defendants filed a reply on July 22, 2026.

Analysis:

MOTION FOR TERMINATING SANCTIONS

The court may impose terminating sanctions, including an order striking pleadings, an order dismissing an action, or an order rendering judgment by default against a party, for conduct that is a misuse of the discovery process. (Code Civ. Proc., § 2023.030.) This conduct includes “[f]ailing to respond or to submit to an authorized method of discovery,” and “[d]isobeying a court order to provide discovery.” (Code Civ. Proc., § 2023.010.)

Ultimate discovery sanctions are justified where there is a willful discovery order violation, a history of abuse, and evidence showing that less severe sanctions would not produce compliance with discovery rules. (Van Sickle v. Gilbert (2011) 196 Cal.App.4th 1495, 1516.) Dismissal is a drastic measure, and terminating sanctions should only be ordered when there has been previous noncompliance with a rule or order and it appears a less severe sanction would not be effective. (Link v. Cater (1998) 60 Cal.App.4th 1315, 1326.) “[A] penalty as severe as dismissal or default is not authorized where noncompliance with discovery is caused by an inability to comply rather than willfulness or bad faith.” (Brown v. Sup. Ct. (1986) 180 Cal.App.3d 701, 707.)

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien (“Defendants”) move for terminating sanctions against Plaintiff grace Cherry, dismissal of her complaint for failure to prosecute, and for judgment on the pleadings, for the same single reason. On February 1, 2023, this court sustained Defendants' demurrer to Plaintiff's First Amended Complaint (“FAC”) in part upon the grounds of Plaintiff's failure to join parties necessary for the adjudication of Plaintiff's claim for rescission, including Odilon Aquino, Danilo S. Peralta, and Marinette C. Peterson,. (See 2/1/2023 Order.) Moreover, although Equity Trust was directed to be joined, and later was joined, Plaintiff dismissed that entity on January 6, 2026. Despite the ensuing years, the upcoming September 29, 2026 trial date, and the looming five-year trial deadline of Code of Civil Procedure § 583.310, Plaintiff has failed to serve these parties. (Ma Decl. ¶¶ 2–10.) Defendants thus argue that terminating sanctions are warranted for failure to abide by the court's orders, for failure to diligently prosecute this matter under Code of Civil Procedure § 583.410, and for failure to state a cause of action based on the omission of indispensable parties.

Plaintiff in opposition argues that no service is necessary upon the identified parties, as they were only made indispensable by Plaintiff's cause of action and prayer for restitution, the first of which was dismissed from the FAC by the same court order that directed the addition of the necessary parties on February 1, 2023, and the latter of which was dismissed from the SAC by the order of April 13, 2023. (Opposition at pp. 7–9; see 4/13/2023 Order.) Plaintiff argues that terminating sanctions are

not warranted because Defendants do not present a pattern of willful misconduct such that terminating sanctions are warranted over lesser sanctions. (Opposition at pp. 9–11.) Plaintiff argues that dismissal for delay in prosecution is not appropriate because she has diligently appeared in this case and trial is fast approaching. (Opposition at pp. 11–13.) Plaintiff finally argues that no motion for judgment on the pleadings is warranted because no claim or prayer for relief is now pleaded that requires the joinder of the parties identified. (Opposition at pp. 13–14.)

Defendants in reply argue that Plaintiff's opposition was filed one day late and never served. (Young Decl. ¶ 4.)

Terminating sanctions and judgment on the pleadings are not warranted. This is because an order of sanctions for failing to obey a court order will generally not lie when the order is invalid or inoperative. (See *People v. Sorden* (2021) 65 Cal.App.5th 582, 593 [contempt sanctions require "a valid order"].) This court on February 1, 2023, directed Plaintiff to join certain parties on the grounds that they were indispensable to any adjudication of Plaintiff's claim and prayer for rescission. This is because "[i]n an action for rescission of a contract, all parties to the contract are indispensable to the action." (*Holder v. Home Sav. & Loan Ass'n of Los Angeles* (1968) 267 Cal.App.2d 91, 107.)

But as Plaintiff notes in opposition, any such order to join these parties that was not obviated by the February 1, 2023 dismissal of the rescission cause of action from the FAC was mooted by the April 13, 2023 order directing the dismissal of Plaintiff's prayer for rescission from the SAC. As the court stated in its latter ruling, "[t]he addition of the new parties was required because of Plaintiff's request for a specific form of relief: rescission of the contracts to which these other people were parties," and "[t]he failure to add these necessary parties forecloses only Plaintiff's prayer for rescission; it does not prevent Plaintiff from seeking damages from injuries suffered particularly by her." (4/13/2023 Ruling.) There being no operative prayer for rescission of the contract, there is no present basis to compel the joinder and service of the parties that Defendants identify, and thus no basis to sanction Plaintiff for failing to abide by a moot order. Defendants in reply offer no challenge to the reasoning of Plaintiff on this point.

But between the entry of that order on February 1, 2023, and the filing of the present motion on June 12, 2026, more than three years have elapsed. In that span, the court has many times scheduled orders to show cause regarding the failure to serve or take the default of the parties, whom Plaintiff, regardless of the efficacy of the February 1, 2023 order, has in fact joined as Doe defendants. (See 3/27/2025 Order; 8/20/2025 Order; 10/24/2025 Order; 1/30/2026 Order; 3/2/2026 Order; 4/3/2026 Order; 6/9/2026 Order.) Plaintiff's failure to dismiss, serve, or take the default of these defendants has led to the delay of trial in this action. (See 3/27/2025 Order [vacating trial date].) The court in its order of January 30, 2026, stated that the case was "not at issue" because "[n]ot all parties have been served." (1/30/2026 Order.) Plaintiff in this time has not raised any argument concerning the necessity of serving, defaulting, or dismissing these parties, but has through February 2026 represented that she sought to serve them without success, most recently by publication (See 2/25/2026 Application for Publication). An order authorizing such service was made (See 2/27/2026 Order), but no such service has evidently been accomplished. It appears that Plaintiff in this time made no argument concerning the mootness of the February 1, 2023 order, until filing the opposition to the present motion on July 17, 2026.

The above proceedings naturally raise a question of delay in prosecution of this action under Code of Civil Procedure § 583.410. Under that statute, "The court may in its discretion dismiss an action for delay in prosecution pursuant to this article on its own motion or on motion of the defendant if to do so appears to the court appropriate under the circumstances of the case." (Code Civ. Proc. § 583.410., subd. (a).) Dismissal may be granted upon the following conditions:

(1) Service is not made within two years after the action is commenced against the defendant.

(2) The action is not brought to trial within the following times:

(A) Three years after the action is commenced against the defendant unless otherwise prescribed by rule under subparagraph (B).

(B) Two years after the action is commenced against the defendant if the Judicial Council by rule adopted pursuant to Section 583.410 so prescribes for the court because of the condition of the court calendar or for other reasons affecting the conduct of litigation or the administration of justice.

(Code Civ. Proc. § 583.420, subd. (a)(2).) The California Rules of Court ("CRC") prescribe consideration of the following non-exclusive factors in considering dismissal under the above statute:

In ruling on the motion, the court must consider all matters relevant to a proper determination of the motion, including:

(1) The court's file in the case and the declarations and supporting data submitted by the parties and, where applicable, the availability of the moving party and other essential parties for service of process;

(2) The diligence in seeking to effect service of process;

(3) The extent to which the parties engaged in any settlement negotiations or discussions;

(4) The diligence of the parties in pursuing discovery or other pretrial proceedings, including any extraordinary relief sought by either party;

(5) The nature and complexity of the case;

(6) The law applicable to the case, including the pendency of other litigation under a common set of facts or determinative of the legal or factual issues in the case;

(7) The nature of any extensions of time or other delay attributable to either party;

(8) The condition of the court's calendar and the availability of an earlier trial date if the matter was ready for trial;

(9) Whether the interests of justice are best served by dismissal or trial of the case; and

(10) Any other fact or circumstance relevant to a fair determination of the issue.

The court must be guided by the policies set forth in Code of Civil Procedure section 583.130.1

(CRC Rule 3.1342, subd. (e).)

It appears from the above account of the facts, in relation to the above factors, that dismissal may properly be entered as to Plaintiff's claims against those parties ordered to be joined on February 1, 2023, i.e. Eric Gene Goduco, Ma Peciosa Goduco, Odilon Aquino, Marinette C. Peterson, and Danilo S. Peralta. These parties were added as defendants to this action based on their essential connection to the rescission cause of action and prayer for relief, which have long been dismissed. Plaintiff in that time has failed to serve Odilon Aquino, Danilo S. Peralta, and Marinette C. Peterson, has already dismissed Equity Trust, and has failed to take the default of the remainder. The sole claim for which these parties were ordered joined has been dismissed, Plaintiff has failed to serve all parties for whom adjudication of that claim would be necessary, and Plaintiff has no evident desire to prosecute any claim against these parties. Thus dismissal of Plaintiff's claims in relation to them appears to be within the court's discretion.

But the moving and opposing papers here do not present adequate basis to conclude whether dismissal for delay in prosecution may be entered as to Plaintiff's claims against moving Defendants. Defendants in their motion articulate only Plaintiff's failure to diligently serve these other parties, (Motion at pp. 7–8), and in reply offer only conclusory invocations of prejudice arising from the delay. (Reply at pp. 5–6.) Plaintiff in opposition argues only that the delay is excusable, and that she has diligently participated in this action, largely by reference to the filing of amended pleadings, opposition to Defendant's challenges thereto, and appearance at status conferences. (Opposition at pp. 11–13.) Trial is set for September of this year, but the parties' materials do not permit a conclusion as to whether it may justly be held in light of the substantial delay that precedes it. The record is thus presently inadequate to determine whether discretionary dismissal is appropriate as to Plaintiff's claims against the moving Defendants under Code of Civil Procedure § 583.410.

Accordingly, the hearing on the present motion is CONTINUED to permit the parties to submit additional briefing concerning the appropriateness of dismissal in light of the factors described in CRC Rule 3.1342, subd. (e).

Superior Court of California

County of Los Angeles

Department 732

GRACE CHERRY.

Plaintiff,

v.

VELUR ENTERPRISES, INC., et al.,

Defendants.

Case No.: 21STCV39315

Hearing Date: July 29, 2026

[TENTATIVE] RULING RE:

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's Motion for Terminating Sanctions.

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's Motion for Terminating Sanctions is CONTINUED to permit the parties to submit additional briefing concerning the appropriateness of dismissal in light of the factors described in CRC Rule 3.1342, subd. (e).

Defendants to provide notice.

Dated: July 29, 2026

Hon. Richard S. Kemalyan

Judge of the Superior Court